

Runway Tools

Pricing Playbook

Economics + strategy + execution for fashion brands

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What this is: A practical knowledge base your AI Mentor can use to teach pricing decisions, explain calculators, and guide founders to pick a pricing strategy with clear tradeoffs.

How to use: Start with the framework, then jump to strategy tables and cheat sheets. Use the formulas to plug numbers into your Pricing Calculator, Break-even, Cashflow, and Returns models.

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1) The job of pricing in fashion

Pricing is not “pick a number.” It’s a **strategy** that shapes your brand position, cashflow, sell-through, and how fast you can scale. A weak price causes you to lose money on every sale, or kill conversion and leave inventory stuck.

Your pricing needs to satisfy four forces at the same time:

- **Customer:** willingness-to-pay, perceived value, alternatives.
- **Costs:** COGS, landed cost, marketing, fulfillment, returns, overhead.
- **Competition:** price anchors, substitutes, category norms.
- **Capacity:** production limits, MOQs, lead times, seasonality.

If you ignore one force, you'll pay for it later. Especially in fashion: returns, sizing issues, discounts, and cash tied in stock will punish you.

Pick your objective before you pick your strategy:

- **Profit** (maximize gross profit dollars): higher margin, controlled promos.
- **Growth** (maximize customers / volume): lower entry price, tighter costs.
- **Cash** (survive and fund inventory): faster sell-through, fewer SKUs, smaller drops.
- **Brand** (premium positioning): fewer discounts, higher quality signals.

Pricing has constraints you can't negotiate with:

- You must make money **after** returns, shipping, payment fees, and discounts.
- Your price must match your **positioning** (cheap price + premium story = mismatch).
- You must have a clear **price ladder** (entry → core → hero → premium).
- You must protect margin with **discount guardrails** and a calendar.

2) Economics lens: demand, supply, elasticity

Economics is useful because it tells you **how price changes behavior**. In fashion, demand is sensitive to: trends, social proof, income, season, and alternatives.

Demand basics (what shifts demand at the same price)

- **Income:** higher-income customers usually have less price sensitivity.
- **Substitutes:** the more alternatives exist, the more elastic demand becomes.
- **Taste & trends:** hype can shift the demand curve upward (you sell more at the same price).
- **Seasonality:** winter demand for hoodies shifts up; summer demand shifts down.
- **Expectations:** if customers expect a sale next week, they delay buying today.
- **Information:** reviews, UGC, influencer proof reduces perceived risk → higher WTP.

Supply basics (what limits you)

- **Capacity:** how many units your factory can produce per week.
- **MOQ:** forces a bigger bet; increases inventory risk and markdown pressure.
- **Lead time:** longer lead time increases forecast error and cash lock-up.
- **Cost shocks:** fabric price, FX rates, shipping, duties.

Elasticity = how sensitive quantity is to price. Practical rules:

- If a 10% price increase causes >10% drop in sales, demand is **elastic** (risky to raise prices).
- If a 10% price increase causes <10% drop in sales, demand is **inelastic** (pricing power).
- Elasticity changes by segment, product type, season, and differentiation.

Brutal truth: if your product is a commodity, customers will treat you like a commodity. Build differentiation before you try premium pricing.

How to use economics in pricing (action steps)

- Map **price anchors**: 10 closest competitors for each product type.
- Run small **price tests** and watch conversion + gross profit/visitor.
- Track **sell-through** and time-to-sell; slow sell-through means price/value mismatch or weak demand.
- Watch **stockouts**: repeated stockouts can justify higher price *if* quality & brand match.

3) Cost-based pricing (the math that keeps you alive)

Cost-based pricing prevents the #1 founder mistake: selling at a loss after hidden costs. The goal is to protect **contribution margin** per unit.

Key definitions

COGS (unit)	Direct unit cost: fabric, trims, cut&sew, printing, packaging.
Landed cost	COGS + inbound shipping + duties/taxes + FX impact (if any).
Variable costs	Payment fees, outbound shipping subsidies, returns/exchanges, pick&pack.
Contribution margin	Price – (landed cost + variable costs). This pays for marketing + overhead.
Gross margin %	(Price – landed cost) / Price. (Use landed cost for realism.)
Markup %	(Price – cost) / cost. (Not the same as margin.)

Core formulas (put these into your calculators)

- **Gross margin %** = (Price – Landed Cost) ÷ Price
- **Contribution margin** = Price – (Landed Cost + Variable Costs)
- **Break-even units** = Fixed Costs ÷ Contribution margin per unit
- **ROAS break-even (simplified)** $\approx$ Gross Margin % ÷ (1 – Return Rate)

If your contribution margin is weak, you cannot “marketing your way out.” You will just scale losses faster.

Cost-based methods

- **Cost-plus:** Price = Cost × (1 + markup). Simple; dangerous if value/competition ignored.
- **Target margin:** Price = Cost ÷ (1 – target margin). Better control of margin.
- **Absorption:** includes allocated overhead in unit cost (useful for planning, not for decisions).
- **Marginal:** pricing near variable cost (used for clearance, not normal pricing).

4) Value-based pricing (how real brands price)

Value-based pricing starts from what the customer believes it's worth (willingness-to-pay), then checks costs and competition to confirm it's viable.

What creates value in fashion

- **Design uniqueness:** silhouette, fit, pattern, details.
- **Quality signals:** fabric hand-feel, weight (gsm), stitching, trims, print durability.
- **Brand meaning:** identity, community, story, status.
- **Convenience:** fast delivery, easy exchanges, sizing help.
- **Scarcity:** limited drops, numbered pieces, waitlists.

How to estimate willingness-to-pay (WTP) without guessing

- Use competitor anchors: average price of the closest 10 alternatives.
- Run “fake door” tests: show two prices; compare add-to-cart intent.
- Use pre-orders: if people pay before you produce, you found real WTP.
- Test value signals: better photos, UGC, guarantees, fabric details.

Rule: If you can't explain **why** you deserve a premium in one sentence, you don't deserve it.

5) Competition-based pricing

Competition-based pricing uses market prices as reference points. It's useful early, when your brand is not yet strong and customers compare directly.

Three competitive positions

- **Parity:** match category norms. Good when differentiation is low.
- **Undercut:** cheaper than rivals. Good to acquire customers, but can trap your brand in low margin.
- **Premium:** higher than rivals. Only works if quality/branding/support justify it.

Fashion competitor traps

- Comparing your small brand to a mass brand with economies of scale.
- Ignoring discount behavior: competitors may live on 30–50% promos.
- Copying a price without copying the promise (materials, fit, delivery).

6) Pricing strategies playbook

These are tools. None are “best.” Choose one main strategy per product line and support it with clear rules (otherwise customers learn to wait for discounts).

Classic strategies (Part A)

Strategy	What it is	Use when	Main risks
Penetration pricing	Enter below category price to win volume and reviews.	New brand, low differentiation, strong supply chain, need fast adoption.	Margin death, attracts bargain hunters, hard to raise later.
Price skimming	Launch high, then drop price over time.	Unique design, limited competition, early adopters, strong brand signal.	Low volume if you overestimate WTP; price drops can anger early buyers.
Premium / prestige	Price above market to signal status/quality.	Excellent quality + branding + experience; scarcity/drops.	If quality doesn't match, you get refunds and bad word-of-mouth.
Competitive parity	Price in the middle of category norms.	You're building brand; want stability; category has clear anchors.	You may leave money on the table or fail to stand out.
Psychological pricing	Use price perception (e.g., 499 instead of 500).	Direct-to-consumer, impulse categories, online checkout.	Overuse makes you look cheap; not enough alone.
Bundle pricing	Sell sets (2 tees, hoodie+tee) with higher AOV.	You need AOV to cover shipping/CAC; complementary products.	Bundles can hide poor product-market fit.

Classic strategies (Part B)

Strategy	What it is	Use when	Main risks
Versioning / good-better-best	Offer tiers (basic vs premium fabric, limited edition).	You have segments with different budgets; want upsell.	More SKUs, complexity, forecasting risk.
Dynamic / seasonal	Adjust prices by season/demand (not chaos).	Clear seasonality, data, tight inventory control.	Customers learn to wait; needs rules.
Promotional pricing	Limited-time discounts to drive spikes.	Inventory clearance, acquisition campaigns, seasonal events.	Trains customers to wait; damages premium positioning.
Limited drops / scarcity	Keep supply limited; price holds; hype drives demand.	Streetwear/hype culture; strong community; fast production cycle.	If demand isn't real, you just look like you're failing to restock.
Loss leader	Sell one item low to acquire customers; profit on upsells.	You have strong cross-sell/retention; known best-seller.	If upsell fails, you burn cash.
Wholesale / channel pricing	Different price for resellers with margins built in.	You can produce at scale; retail partners add volume.	Lower margins; needs strict price architecture.

Economics-based pricing mechanisms (advanced)

- **Price discrimination:** different prices for different segments (student pricing, VIP, bundle vs single). Use when segments have different WTP and you can prevent abuse.
- **Versioning:** same base product, different versions (fabric, limited colorway, embroidery vs print). Use to capture higher WTP without discounting.

- **Two-part tariff:** membership fee + lower item prices. Works if you have repeat buyers and frequent drops.
- **Peak-load pricing:** higher prices when demand peaks (limited drops, holiday rush). Works only with strong demand.
- **Auctions / bids:** rare items where scarcity is real. High risk for brand trust if you look greedy.
- **Dynamic pricing:** rule-based adjustments with data; avoid random changes that create backlash.

If you can't explain the mechanism to a customer without sounding shady, don't use it.

7) Promotional pricing & discount rules

Discounting is a weapon. Use it intentionally, or it becomes an addiction that destroys margin and brand trust.

Common promo types

- **Launch offer:** small + short to reduce first-purchase friction (e.g., 10% for 48h).
- **Threshold promo:** free shipping over X to increase AOV.
- **Bundle promo:** buy more, save a little (protects margin).
- **Seasonal event:** planned calendar (Ramadan/Eid, back-to-school, Black Friday).
- **Clearance:** move slow inventory; accept lower margin to free cash.

Discount guardrails (non-negotiable)

- Define a **minimum price** per SKU: must cover landed cost + variable costs + a marketing allowance.
- Use a **promo calendar**. Random discounts train customers to wait.
- Avoid deep discounts on your **hero products**. Discount the weak ones.
- Measure success by **gross profit dollars** and cash recovered, not revenue.
- If you discount often, your real problem is usually product, inventory, or positioning — not ads.

8) Launch pricing & price architecture

Price architecture is how your prices relate to each other. Without it, customers get confused and your upsell dies.

Build a price ladder

- **Entry:** lowest price to get first purchase (basic tee, cap).
- **Core:** your bread-and-butter (best-selling tees, shirts).
- **Hero:** flagship (signature hoodie, standout jacket).
- **Premium:** limited edition / better fabric / craftsmanship.

Anchoring works when the premium item is real. Fake “anchors” destroy trust.

Launch playbook (simple)

- Start with cost floor: landed cost + variable costs + minimum marketing allowance.
- Check category anchors and segment WTP.
- Pick strategy and commit to rules (promo calendar, minimum price).
- Validate via small batch or pre-order. Don't produce 500 units on a guess.
- Iterate based on sell-through, returns, and gross profit/visitor.

9) Testing & iteration

Price is a hypothesis. Test it like a product.

What to track

- **Conversion rate**
- **Gross profit / visitor**
- **Sell-through**
- **Return rate**
- **Customer language:** “too expensive” vs “worth it”

Simple A/B price test rules

- Change only price (keep page and offer identical).
- Run long enough for meaningful sample size; don't react to 10 orders.
- Compare gross profit, not revenue.
- Before cutting price, test stronger value signals (UGC, details, guarantees).

10) Fashion-specific pitfalls

- Confusing markup with margin (you can “double the cost” and still lose money after returns + shipping).
- Pricing based on what you personally can afford, not what the market pays.
- Over-discounting early: you train customers to expect promos forever.
- Too many SKUs too early: you increase MOQ risk and force discounts later.
- Ignoring returns/exchanges cost (especially sizing issues).
- Not separating MSRP (list) from realized price (after discounts).

If your business needs constant discounts to move product, you don't have a brand — you have a clearance store.

11) Glossary & quick formulas

Term	Meaning
SKU	Stock Keeping Unit: unique product variant (size/color/style).
AOV	Average Order Value.
MSRP / RRP	Suggested / recommended retail price.
MAP	Minimum advertised price (common in some markets).
MOQ	Minimum order quantity from supplier/factory.
GMROI	Gross Margin Return on Inventory: gross margin dollars ÷ average inventory cost.
CAC	Customer acquisition cost.
LTV	Lifetime value.
ROAS	Return on ad spend.
Sell-through	% of inventory sold in a period.
Markdown	Price reduction from MSRP.
Elasticity	% change in demand ÷ % change in price.

Quick sanity checklist before you ship a price:

- Does it match the brand position (cheap / mid / premium)?
- Does it survive worst-case: discount + returns + shipping + fees?
- Does it create a clear ladder vs other products?
- Do you have promo rules (calendar + minimum price)?
- Can your AI Mentor explain the calculation step-by-step using your calculators?